



Department of Legislative Services
Office of Legislative Audits

Baltimore City Community College (BCCC)

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Presentation to Joint Audit and Evaluation Committee

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Report Overview

- BCCC is an urban two-year institution and operates under the jurisdiction of BCCC's Board of Trustees. BCCC primarily offers associate degrees and certifications that allow students to graduate and enter the workforce as well as continue their education at four-year institutions.
- This report covers the period from December 1, 2020 to June 30, 2025. The report contains 16 findings* including 6 findings that are repeated from one or more prior audits dating back to November 2017.
- Based on the nature, significance, and duration of the findings, we determined that BCCC's accountability and compliance level was unsatisfactory.

*We determined that 4 of these findings related to "cybersecurity" as defined by State Finance and Procurement Article, Section 3.5-301(c) of the Annotated Code of Maryland. In accordance with State Government Article 2-1224(i) these findings were redacted from the publicly available audit report and, consequently, are not included in this presentation.



Key Findings

- BCCC did not document critical aspects of procurements, paid for certain equipment that was not needed or used, and circumvented procurement oversight and transparency requirements.
- BCCC accrued federal fund revenues of \$1.4 million which BCCC management advised may not be recoverable.
- BCCC had not established sufficient controls over financial aid and did not take appropriate action when it identified suspected fictitious students attempting to obtain financial aid.
- BCCC did not establish adequate controls over collections and did not investigate missing collections resulting in the failure to identify, investigate and pursue \$23,000 in missing funds.
- BCCC wrote-off missing equipment valued at approximately \$20.1 million without an investigation or approval.



Procurements and Disbursements (Finding 1) (Repeat)

BCCC did not document critical aspects of procurements.

- BCCC did not adequately document why it used sole source procurements rather than competitive procurements. For example, the justification for a \$263,000 sole source procurement noted that although other vendors could provide the services, the procurement was done without competition because of funding restrictions. However, BCCC did not have documentation of this restriction.
- BCCC did not execute formal written agreements for 2 procurements totaling \$365,000. As a result, there was no documentation of the payment terms and the specific deliverables to enable effective monitoring and proper payments.
- BCCC did not publish the 10 contract awards tested on eMaryland Marketplace Advantage (eMMA).



Procurements and Disbursements (Finding 2)

BCCC did not have comprehensive procedures for participating in Intergovernmental Cooperative Purchasing Agreements (ICPAs).

- BCCC procedures did not include steps to ensure that participating in an ICPA was in the best interest of the State, did not require a review of the procurement method used for the ICPA, and did not require verification that the rates on the BCCC contract were consistent with those on the ICPA.
- Our review of three contracts totaling \$4.5 million procured under ICPAs disclosed that for all three contracts tested, BCCC did not document that the use of the ICPA promoted efficiency and savings and did not verify that the rates on its contract agreed with the original ICPA.



Procurements and Disbursements (Finding 3) (Repeat)

BCCC paid for equipment and services that were not needed or used and did not ensure that the amounts paid were consistent with the contract and properly supported.

- BCCC paid invoices for electronic equipment (such as surveillance cameras, door access controllers, and related licenses) totaling \$508,000 that remained unused as of the date of our test which in some cases was up to three years after they were purchased.
- BCCC did not ensure the rates paid for these goods were accurate and consistent with the related contracts resulting in overpayments totaling \$100,000 and underpayments totaling \$58,000 going undetected.



Procurements and Disbursements (Finding 4) (Repeat)

BCCC did not consolidate procurements circumventing oversight and transparency requirements and its leverage as a high-volume purchaser.

- BCCC made 263 purchases from two vendors totaling approximately \$638,000 without a formal competitive procurement process. For example, BCCC made 189 payments totaling \$280,000 to one vendor each less than \$2,500, for a rental truck used in its workforce development courses.
- Since the purchases were not consolidated, BCCC circumvented certain competitive procurement and approval requirements, such as publishing of solicitation and award, and obtaining Board of Trustees approval, and did not maximize its benefits as a high-volume purchaser.



Year-End Closing Entries (Finding 5)

BCCC could not support the propriety of accrued federal fund revenue entries totaling \$1.4 million which BCCC management advised may be unrecoverable.

- Our test of 6 accrued revenue entries totaling approximately \$8.4 million disclosed BCCC could not document that two entries totaling \$1.4 million accurately reflected amounts collectable from the federal government.
- As of December 2025, BCCC had not requested or received or any of the aforementioned \$1.4 million in federal funds.
- BCCC indicated these funds appear to be uncollectable and plans to use unrestricted revenue funds, which may include State general funds to cover any related deficits.



Student Financial Aid (Finding 6) (Repeat)

BCCC had not established sufficient controls over significant aspects of the financial aid award and record keeping processes.

- BCCC did not conduct independent supervisory reviews of manual adjustments to financial aid awards. Student financial aid awards totaled approximately \$11.6 million during academic year 2024-2025. Of this amount, approximately \$5.9 million were awards which were manually input into the financial aid system.
- BCCC did not conduct independent supervisory reviews of required verifications of financial aid application data and satisfactory academic progress by financial aid recipients, performed by financial aid office staff.



Student Financial Aid (Finding 7)

BCCC did not take appropriate action when it identified potentially fictitious students attempting to obtain financial aid and awarded and distributed aid to certain of these students without proper verifications.

- BCCC could not document any follow-up action to verify the propriety of 4,394 accounts that were flagged by BCCC for further verification because they were potentially fictitious students. During fiscal year 2025, BCCC awarded \$264,392 in federal financial aid to 145 of these students of which \$165,043 was disbursed to the student.
- BCCC included these suspected fictitious students in full-time equivalent student calculations reported to the Maryland Higher Education Commission for funding purposes. During fiscal years 2024 and 2025 BCCC requested \$635,915 in funding for these students and had received \$126,901 as of February 2026.



Payroll (Finding 8) (Repeat)

BCCC did not establish adequate procedures and controls to ensure the propriety of payroll transactions resulting in certain transactions that were unsupported or improper.

- Our test of 10 employee additions and rate changes noted 3 rate changes totaling \$22,500 without documentation to support the changes.
- Our test of 12 leave payouts totaling \$248,000 disclosed that BCCC did not have documentation to support 2 payouts totaling \$59,000.
- BCCC did not ensure employees who left State service were timely removed from the payroll. Our review of 15 employees whose final payroll was between 17 days and 50 months after their effective termination date noted 5 employees received regular payroll payments totaling \$29,000 after termination that BCCC could not justify.



Cash Receipts (Finding 9)

BCCC did not have adequate accountability and control over certain collections.

- Our test of 15 deposits totaling \$2.7 million disclosed BCCC could not document the initial recordation for 9 deposits totaling \$2.5 million and could not document a deposit verification for all 15 deposits.
- BCCC did not document the transfer of funds to its bank courier to establish accountability.
- Our test of 10 chargebacks totaling approximately \$1.2 million noted BCCC wrote off 9 bank adjustments reducing deposits by \$196,200 as bad debt without obtaining supporting documentation or explanations.



Cash Receipts (Finding 10)

BCCC did not take sufficient action when it identified missing collections resulting in the failure to identify, investigate and pursue an additional \$23,000 in missing funds.

- BCCC's investigation of \$7,220 in missing funds was not adequately documented or comprehensive. For example, BCCC did not document the control deficiencies that enabled the missing funds to go undetected.
- BCCC did not document any attempts to identify other missing collections. Our review identified 6 additional days with missing collections totaling \$23,000 from January 2023 through June 2025. These collections were recorded in BCCC's internal log and the State's accounting records but were not deposited.



Corporate Purchasing Cards (Finding 11)

BCCC did not have adequate controls over corporate purchasing card (CPC) activity. From December 1, 2020 through June 30, 2025, CPC transactions totaled approximately \$5 million across 29 cardholders. Our test of 25 CPC transactions disclosed the following:

- BCCC did not review and approve CPC activity logs as required for 16 transactions totaling \$24,000. Total transactions not subject to review on the 11 related activity logs totaled \$294,000.
- BCCC did not ensure that cardholders obtained sufficient documentation to facilitate supervisory reviews, such as receiving reports, to support that the goods/services were received for 19 transactions totaling \$35,000.
- Supervisory reviews did not use Level-3 data to ensure the propriety of purchases. Level-3 data consists of detailed descriptions of items purchased and additional information to help detect questionable purchases.



Equipment (Finding 16) (Repeat)

BCCC did not conduct required physical inventories of equipment and wrote off missing equipment valued at approximately \$20.1 million.

- BCCC only conducted one physical inventory in 2023 and did not reconcile the results to its inventory records.
- We received a referral to our fraud, waste, and abuse hotline alleging that BCCC had written off several million dollars of inventory without a proper investigation. Based on our review, BCCC wrote off 26,018 missing equipment items (including laptops and other computer equipment) valued at approximately \$20.1 million without performing an investigation or obtaining Department of General Services approval, as required.



Conclusions

Our audit of BCCC identified numerous concerns across a wide range of BCCC operations related to BCCC's procurements and disbursements, year-end closing entries, student financial aid, payroll, cash receipts, corporate purchasing cards, and equipment.

We made detailed recommendations to BCCC and we will assess the status of the recommendations during the course of our next audit.

We are happy to answer any questions.